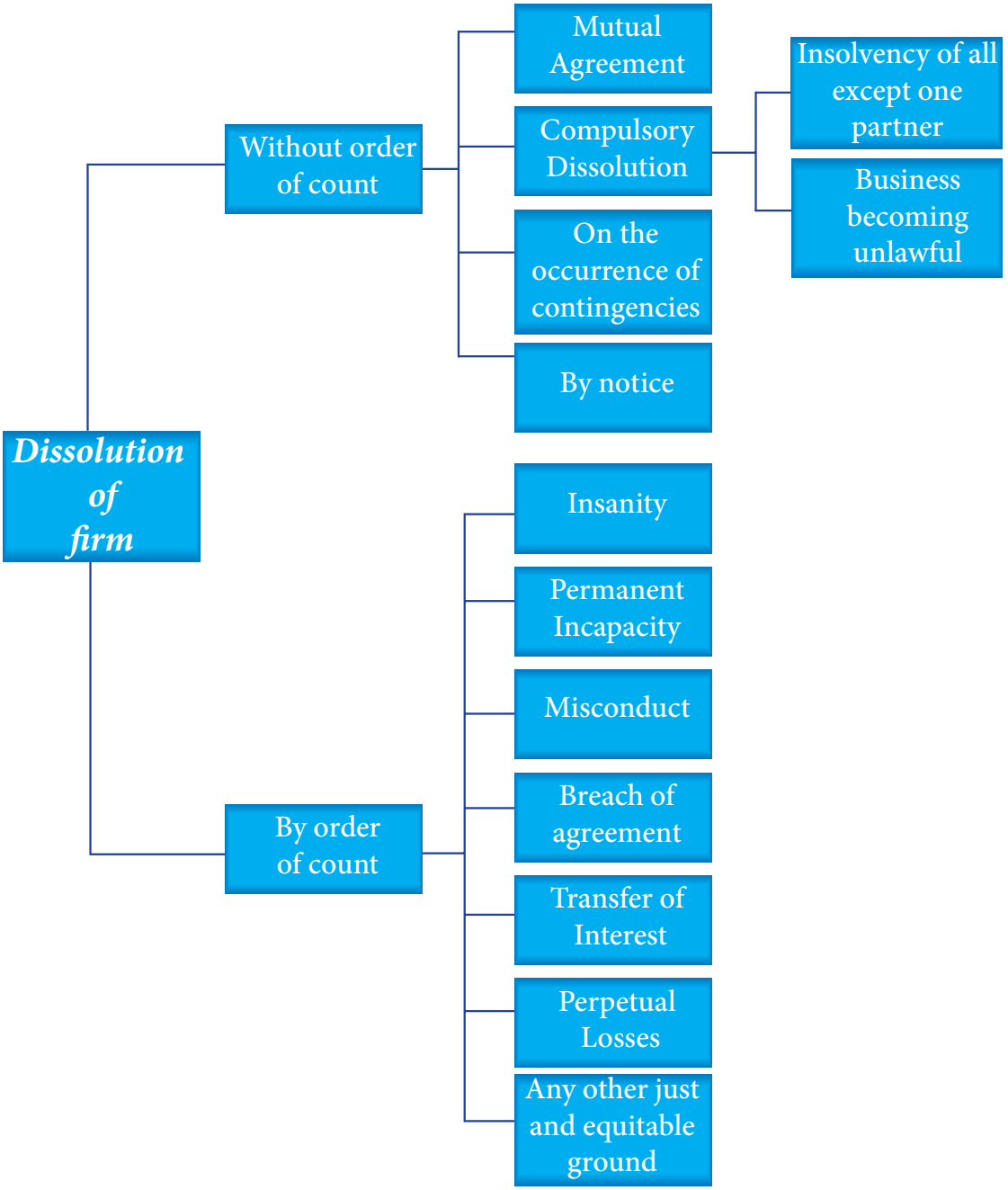
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i. Dissolution of a partnership firm is taken place in two ways.

a. without the order of the court and
b. By order of the court.

a. Without the order of the court

i. **By agreement or mutual consent**
A firm may be dissolved when all the partners agree to close the affairs of the firm. Just as a partnership is created by contract, it can also be terminated by contract.

ii. **By insolvency of all the partners but one**
If any of the partners adjudged an insolvent (or if all the partners become insolvent) it is necessary to dissolve the firm.

iii. **When the objective becomes illegal**
When the business carried on by the partnership becomes illegal, the partnership firm is automatically dissolved.